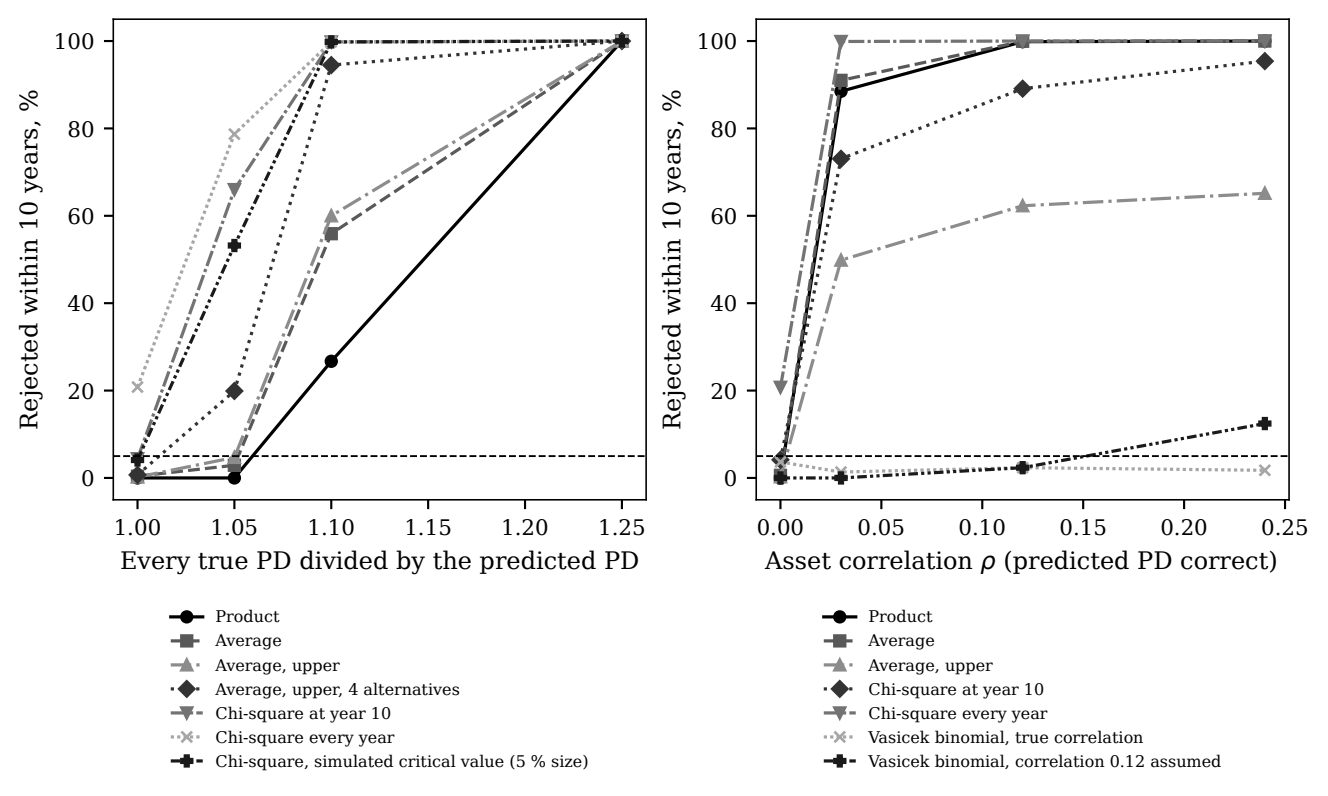
Rejected within 10 years, %
100
80
60
40
20
0
1.00
1.05
1.10
1.15
1.20
1.25
Every true PD divided by the predicted PD
Rejected within 10 years, %
0.00
0.05
0.10
0.15
0.20
0.25
Asset correlation ρ (predicted PD correct)
Product
Average
Average, upper
Average, upper, 4 alternatives
Chi-square at year 10
Chi-square every year
Chi-square, simulated critical value (5 % size)
Product
Average
Average, upper
Chi-square at year 10
Chi-square every year
Vasicek binomial, true correlation
Vasicek binomial, correlation 0.12 assumed